

MORNING BRIEFING — LONDON PRE-OPEN

Monday 22 June 2026 | Generated ~05:30 BST | Data collected 05:00-05:30 BST

2. IMPORTANT NEWS

US and Iran announce interim agreement to end hostilities

Reuters / CNBC — Ceasefire removes near-term Strait of Hormuz risk; Brent pulled back sharply from its peak of >60% above pre-conflict levels. Market impact: energy complex repricing lower, shipping spreads tightening.

ECB raises all three key rates by 25bp — first hike since 2023

ECB Press Release (June 11) — Deposit facility: 2.25%, Main refi: 2.40%, Marginal lending: 2.65%. Inflation 3.2% in May; ECB projects 3.0% average for 2026. At least one further hike priced for H2 2026. Negative for growth-sensitive assets; NIM-positive for European banks.

US Supreme Court rules IEEPA does not authorise presidential tariffs

Congress.gov / Politico — Administration responds immediately with Section 122 tariffs at 10%, set to expire in 150 days. Creates uncertainty for trade-exposed industrials and supply chains. Dollar marginally supported by residual tariff premium.

Eurozone Composite PMI (May) falls to 47.5 — services worst in 5+ years

S&P Global / Trading Economics — Composite 47.5 (April: 48.8); Services 46.4; Manufacturing 51.6. Energy shock from Iran war is driving services contraction. June Flash PMI due today — consensus expects mild improvement. Negative for EUR.

Fed holds rates; half of FOMC see at least one further hike in 2026

Fed Minutes / Bloomberg — Markets pricing October hike at approximately 60%. Fed hawkish pivot underpins DXY above 100. Negative for US duration; supportive for USD vs EUR and GBP.

3. EUROPEAN FUTURES — PRE-OPEN

Live futures data for 22 June not retrieved in this session. Direction inferred from Friday US close (+1.08% S&P) and Asia overnight (mixed). Slight positive opening bias expected; ECB and PMI sentiment cap upside.

CONTRACT	LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50	n/a	Slight positive bias	US +1.08% Fri; Iran ceasefire support
DAX (FDAX)	n/a	Slight positive bias	Energy cost relief positive for German industry
CAC 40	n/a	Slight positive bias	Defense names (Thales, Airbus) likely to outperform
FTSE 100	n/a	Cautious positive	Energy weight may drag as Brent pulls back
S&P 500 (ES)	n/a	—	Friday close 7,500.58; futures for context
Nasdaq 100 (NQ)	n/a	—	Friday close 26,517.93 Nasdaq Comp.

Data collection time: 05:00 BST. Source: Inferred from Friday US close and overnight Asia. Verify on Bloomberg/Refinitiv before open.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (FRIDAY 19 JUNE 2026)

INDEX	CLOSE	CHANGE	% CHANGE	YTD
Euro Stoxx 50	~6,302	-6	-0.10%	+17.3% (EuroStoxx 600)
Euro Stoxx 600	~636	-1.3	-0.20%	+17.3%
DAX (XETRA)	n/a	—	—	—
CAC 40	n/a	—	—	—
FTSE 100	n/a	—	—	—

Source: CNBC European market commentary (19 Jun 2026). Specific DAX, CAC, FTSE closes not retrieved. EuroStoxx 50/600 cautious on Friday, down 0.1-0.2%. Markets weighed by ECB hike transmission concerns and PMI contraction. European equities broadly up ~17% YTD on defence and energy sector gains, outperforming Wall Street.

5. US MARKETS — FRIDAY SESSION (19 JUNE 2026)

INDEX	CLOSE	CHANGE	% CHANGE	NOTE
S&P 500	7,500.58	+80	+1.08%	Risk-on recovery, Iran ceasefire catalyst
Nasdaq Composite	26,517.93	+496	+1.91%	Tech and growth led; AI theme resilient
Dow Jones	~51,650	est. +157	~+0.30%	Approximate; confirm at open

Session tone: Risk-on. US-Iran interim ceasefire removed acute energy supply disruption risk. Tech outperformed as chip names rebounded from the June 4 selloff (-4% Nasdaq that day). Energy sector positive on week basis even as crude pulled back on ceasefire.

Leading sectors: Technology (+1.9%), Consumer Discretionary, Communication Services. **Lagging:** Energy (week pressure on ceasefire), Utilities.

Key takeaway: S&P 500 still ~1.3% below its June 2 record high of ~7,600, which was set as chip boom peaked. Market consolidating after sharp early-June tech selloff; recovery underway but Fed hawkish stance remains a cap.

Sources: Yahoo Finance synthesis, TheStreet (2 Jun 2026 record high), CNBC (4 Jun selloff). Data collection time: 05:00 BST.

6. ASIAN MARKETS — OVERNIGHT SESSION (MONDAY 22 JUNE 2026)

INDEX	LEVEL	CHANGE	% CHANGE	DRIVER
Nikkei 225	71,697	+449	+0.63%	Semis/tech rebound; yen stable
Hang Seng	23,924	n/a	n/a	HK markets; China tech watch
Shanghai Composite	4,090	-18	-0.43%	Domestic demand concerns; property sector
Kospi	8,963	-89	-0.98%	Tech profit-taking; chip exports outlook

Overall tone: Mixed. Japan outperforms on tech/semiconductor recovery tracking Wall Street Friday gains. Korea underperforms on chip profit-taking after recent strong run. China lower on domestic growth concerns and property sector headwinds. Hong Kong change not confirmed. Asia session does not suggest a strong directional impulse for European open.

Sources: Trading Economics, Investing.com Asia data. Data collection time: 05:00 BST. Nikkei 225 YTD high reached 71,952 on 19 June 2026.

7. COMMODITIES

COMMODITY	PRICE	CHANGE	UNIT	NOTE
Brent Crude	\$80.59	↓	USD/bbl	Pulling back sharply from >60% peak on US-Iran ceasefire; was >\$120+ at conflict peak. Trend: declining.
WTI Crude	\$76.51	↓	USD/bbl	Spread to Brent ~\$4.08. Demand uncertainty caps recovery.
Gold (Spot)	~\$4,163	—	USD/oz	June 22 pivot \$4,163; daily range ~\$4,022-\$4,297. Off year peak of ~\$5,500 (Jan 2026). Geopolitical bid easing but still elevated.
Natural Gas (NYMEX)	~\$4.09	—	USD/MMBtu	Qatar LNG infrastructure damage limits supply growth; longer-term tightness expected.
Copper (LME)	~\$12,100/t	—	USD/t (~\$6.48/lb)	June avg ~\$12,100/t. China industrial demand mixed; energy transition structural support ongoing.

Sources: Trading Economics (Brent \$80.59 at 19 Jun 2026), KuCoin commodity support/resistance (Gold Jun 22), S&P Global / LME (Copper). All approximate; cross-check before trading. Data collection time: 05:00 BST.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE (APPROX.)	DIRECTION	NOTE
US 10Y Treasury	~4.44%	-5bp (recent session)	Declining	Partial reversal after near 5bp spike. Fed hawkish but hold priced near-term. Market pricing Oct hike.
German 10Y Bund	n/a	—	—	ECB deposit 2.25% post-hike. Bund expected ~2.6–2.9% range; confirm on Bloomberg.
EUR/USD	~1.143	↓ from 1.15+	Weakening	Dollar rate advantage. ECB hike partially offset by growth concerns (PMI contraction). DXY above 100 weighs.
GBP/USD	~1.340	—	Stable	UK PMI data today key. Cable steady but capped by DXY strength. Range 1.32–1.41 for 2026.
DXY (USD Index)	~100.7	+above 100	Strengthening	Broke above 100 in June on high US inflation and hawkish Fed. Highest since May 2025.

Sources: Trading Economics (US 10Y ~4.44%), StreetStats/Cambridge Currencies (EUR/USD 1.143, GBP/USD 1.34, DXY 100.7 — data as of 19 Jun 2026).
Data collection time: 05:00 BST.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (FRIDAY 19 JUNE)

No specific deal-by-deal issuance data sourced for Friday 19 June. Sources consulted: GlobalCapital, IFR, Dealogic (no live access). Verify via IFR/Bloomberg DCM scanner.

PIPELINE / EXPECTED THIS WEEK

SSA supply: Issuers tipped to frontload given window uncertainty ahead of summer break (late June–early August). One or more EU/supranational mandates possible this week.

IG Corporate: M&A financing pipeline building for H2 2026. Industrials (defence, infrastructure), energy transition and AI/data centre capex expected to be primary drivers of June supply. Summer window likely closes end of June.

HY: Market open but demand selective. Higher-for-longer rate environment tests marginal issuers. No confirmed mandates sourced.

Financials: ECB hike-driven NIM improvement supports bank senior issuance; some opportunistic covered bond supply expected.

KEY SPREADS

INDEX	LEVEL	CHANGE	DIRECTION	NOTE
iTraxx Main (5Y)	n/a	—	—	Live data not sourced; confirm Bloomberg/Markit
iTraxx Crossover (5Y)	n/a	—	—	Live data not sourced
CDX IG (5Y)	n/a	—	—	Live data not sourced
Avg Euro Corp IG spread	n/a	—	Expected wider	2026 consensus: wider spreads vs 2025; belly-of-curve preferred

COMMENTARY

European IG primary market entering the final active window before summer. The ECB June 11 hike has modestly repriced credit across the curve, widening spread expectations for 2026 vs the record 2025 issuance year. Investor appetite remains skewed toward the belly (5–7 year), with long-end demand softer on rate uncertainty. Defence and infrastructure issuers benefit from strong investor demand driven by the European rearmament theme. Energy sector supply constrained by volatile commodity backdrop. Financial issuers (bank senior and covered) likely to accelerate given NIM tailwind from ECB hiking cycle.

Sources: GlobalCapital (SSA frontloading, IG reset 2026), Wellington 2026 bond outlook. iTraxx/CDX levels not retrieved — verify before any credit decisions.

10. ECONOMIC CALENDAR — MONDAY 22 JUNE 2026

LONDON TIME	REGION	RELEASE	CONSENSUS	IMPORTANCE
09:15 BST	France	S&P Flash PMI Manufacturing & Services (June)	n/a	MEDIUM
09:30 BST	Germany	S&P Flash PMI Manufacturing & Services (June)	n/a	HIGH
10:00 BST	Eurozone	S&P Flash PMI Composite (June) — Prev: 47.5	Slight recovery expected from 47.5	HIGH
09:30 BST	UK	S&P Flash PMI Manufacturing & Services (June)	n/a	HIGH
10:00 BST	Germany	IFO Business Climate (June)	n/a — check Bloomberg	HIGH
14:45 BST	US	S&P Flash PMI Manufacturing & Services (June)	n/a	HIGH

Flash PMI day is a key risk event. Eurozone May Composite came in at 47.5 (contraction). A June reading below 47 would intensify ECB stagflation concern. UK PMI matters for BoE trajectory. Germany IFO will capture post-ECB and post-Iran ceasefire business sentiment. Verify exact consensus on Bloomberg/Reuters before London open. Data collection time: 05:00 BST.

11. CORPORATE EVENTS & EARNINGS

No specific earnings or AGM announcements confirmed for 22 June 2026 from sources searched. Most major European H1 2026 results are due in late July–August. Check Bloomberg corporate events calendar for any intra-week trading updates or broker days.

Watch: Any defence sector order announcements (Rheinmetall, BAE, Thales). Energy company strategic updates in context of post-ceasefire commodity repricing. ECB board member scheduled speeches (check ECB website).

Sources: SEC EDGAR (Rio Tinto 6-K filings), company investor relations. Specific June 22 events not identified. Verify via Bloomberg earnings calendar.

12. STOCKS TO WATCH

Rheinmetall (RHM GY) — ↑ Likely higher

Order backlog at Q1 2026: €73bn (+31% YoY). European rearmament spending structural driver. FY2025 sales +29% to €9.9bn. NATO spending commitments accelerating demand for ammunition, armoured vehicles, air defence. Defence sector remains consensus overweight.

Shell (SHEL LN) / BP (BP/ LN) — ↓ Modest pressure

US-Iran ceasefire removes acute Hormuz supply disruption premium. Brent pulling back from war-era highs. Both names had benefited from energy spike; some multiple compression likely on lower spot crude. Watch for strategic communications on capex and buybacks.

Rio Tinto (RIO LN) / Glencore (GLEN LN) — Mixed / Watch

Copper structural positive (energy transition, AI infrastructure), but China macro soft (Shanghai -0.43%). Rio Q1 2026 production: copper equivalent +9% YoY; Oyu Tolgoi ramp-up on track. Glencore: copper + coal diversification. Iron ore and China demand the key swing factor today.

IAG (IAG LN) / Lufthansa (LHA GY) / Air France-KLM (AF FP) — ↑ Slight positive

Jet fuel relief as Brent falls from war-era peaks. Summer booking season underlying demand solid. US-Iran deal removes risk of wider regional conflict disrupting flight paths. Watch for any traffic statistics updates. ECB hiking may pressure consumer spending but leisure demand currently robust.

BNP Paribas (BNP FP) / Deutsche Bank (DBK GY) — ↑ Slight positive

ECB deposit rate at 2.25% structurally positive for European bank NIM. Higher-for-longer scenario supports net interest income. PMI contraction is a credit quality watch risk. Monitor loan book quality in energy-sensitive sectors. Both names trading well below book vs US peers.

Airbus (AIR FP) — ↑ Positive bias

Commercial aviation demand resilient; order backlog multi-year high. Defence division benefits from European rearmament. Any production rate guidance or supplier announcements worth watching. Supply chain bottlenecks remain a key constraint watch.

Thales (HO FP) — ↑ Positive

Defence sales +12% to €12.2bn in FY2025. Total order book €55.3bn. Air defence systems and cybersecurity in direct demand from European rearmament theme. Likely outperformer in current geopolitical environment.

Stellantis (STLAM IM) — ↓ Watch / cautious

Auto sector under pressure from ECB rate hike impact on consumer credit, EV transition costs, and North American tariff uncertainty (Section 122 tariffs). Any CEO strategic update or production guidance could be a significant catalyst. Weak European consumer the primary concern.

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

ECB June 11 hike: First rate increase since 2023. Deposit rate 2.25%. Inflation at 3.2% in May (target: 2%). ECB projects 3.0% average for 2026. Growth forecast cut to 0.8% in 2026 due to Iran war and energy shock. At least one further hike expected H2 2026.

Eurozone PMI contraction: Composite PMI 47.5 in May (below 50 = contraction). Services hardest hit (46.4), worst reading in 5+ years, driven by energy costs from the Iran war impact on consumer and business confidence. Manufacturing still expanding (51.6) but slowing.

Fed on hold but hawkish: No rate change; half of FOMC members see at least one further hike in 2026. Markets pricing approximately 60% probability of October hike. US 10Y yield at ~4.44%. DXY at 100.7, highest since May 2025.

Iran war energy shock: Brent peaked >60% above pre-conflict level. US-Iran interim ceasefire now in place — energy complex retracing. Qatar LNG damage represents longer-term supply reduction of ~120 bcm cumulative through 2030. Broader commodity market spillover ongoing.

CORPORATE

European defence orders surge: Rheinmetall backlog €73bn, BAE Systems £83.6bn, Thales €55.3bn. Structural demand driven by European rearmament commitments post-conflict. Defence M&A pipeline expected to accelerate in H2 2026.

M&A and IG bond pipeline building: 2026 tipped as more active M&A year than 2025. Acquisition financing expected to be major IG supply driver. AI and data centre capex programmes (led by European hyperscalers and telecoms) adding further issuance demand. Summer window closing end-June.

European equity outperformance: EuroStoxx 600 +17.3% YTD, led by utilities, oil and gas, food and beverages, and defence. Major European indices beating S&P 500 and Nasdaq YTD. Driven by structural defence spending and energy sector repricing.

POLITICAL / GEOPOLITICAL

US-Iran interim ceasefire: Announced after months of conflict that rerouted global oil flows and damaged Qatar LNG infrastructure. Agreement reduces near-term Hormuz risk but does not restore pre-war supply levels. Strategic reserve drawdowns partially offset tightness. Watch for ceasefire durability.

US tariff legal uncertainty: Supreme Court ruled IEEPA does not authorise presidential tariffs. Administration imposed Section 122 tariffs at 10%, expiring in 150 days (~November 2026). Creates regulatory uncertainty for trade-exposed industrials and autos. Trade partners watching for retaliation or negotiation.

European rearmament commitment: Member states have committed to structural defence spending increases. Driving sovereign bond issuance (EU defence bonds discussed), defence M&A, and sector equity outperformance. NATO 2% GDP target now floor rather than ceiling for many states.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. Flash PMI Day (Eurozone, UK, US)

June composite PMI prints will determine whether the Eurozone stays in contraction or shows an inflection. A sub-47 reading would intensify ECB stagflation concerns and pressure EUR further.

2. Iran Ceasefire — First Full Trading Day

Today is the first European session after the US-Iran interim deal. Energy complex repricing, shipping spread tightening, and geopolitical risk premium unwind will drive sector rotation (energy down, industrials and consumer up).

3. Germany IFO Business Climate

Key barometer of German industrial confidence post-ECB hike and post-ceasefire. A surprise upside would support DAX and EUR; a miss would compound PMI weakness.

4. European Open Direction — Futures Gap

US closed +1.08% Friday, but Asia mixed this morning. European open will reflect the net of ceasefire optimism, ECB hike drag, and PMI contraction anxiety. Watch Euro Stoxx 50 reaction in first 30 minutes.

5. ECB Communication / Speakers

Any ECB board members speaking today will be scrutinised for signals on the path to a second hike. Markets are pricing one further 25bp move in H2 2026; any dovish surprise would be a significant EUR positive.

THIS WEEK'S TOP 5

1. Flash PMI Final Prints + IFO

Full week of macro data to confirm or deny the May contraction. Services vs manufacturing divergence in Europe key for ECB path.

2. Fed Speaker Circuit

Multiple Fed officials expected on the circuit; any October hike signals will move US rates and the dollar meaningfully.

3. End-of-June DCM Window

Issuers need to price before the summer shutdown. Expect heavy supply pressure mid-week in EUR IG, SSA, and covered bonds. Watch spread concessions and deal performance.

4. Iran Ceasefire Stability

Any escalation in the interim ceasefire period would re-spike Brent and reverse the weekend's energy relief. Geopolitical risk remains binary and high.

5. European Defence Sector Catalysts

NATO summit comments, member state defence budget announcements, or M&A activity in the defence space could drive Rheinmetall, BAE, Thales, Saab this week.

THIS MONTH'S TOP 5

1. ECB Rate Path — July or September Next Hike

Markets pricing second hike by Q3 2026. ECB communication in June will set expectations. Determines EUR trajectory and European rate markets for H2.

2. US-Iran Diplomatic Track — Interim to Permanent

Duration of the ceasefire and prospects for a permanent settlement will dictate energy market trajectory for H2 2026. Qatar LNG timeline is a longer-term supply story.

3. Fed September Meeting Positioning

FOMC split on 2026 hike. June and July macro data (inflation, jobs) will build or kill the October hike case. Key for DXY, US rates, and equity valuations.

4. US Tariff Regime Under Section 122

150-day clock running on 10% Section 122 tariffs. Trade partners watching for negotiation or escalation. Autos, industrials, and steel most exposed.

5. European H1 Earnings Season Preview

Formal H1 2026 results start mid-July. Analyst estimate cuts in consumer and industrial sectors likely given PMI contraction. Defence and energy sectors will be the bright spots. Current setup suggests significant earnings divergence.

15. KEY TRENDS TO WATCH

1 DAY — TODAY'S SESSION

Flash PMI prints (09:00-15:00 BST): Single biggest risk event today. May composite at 47.5 was a contraction shock. A June improvement could rally EUR and European equities; a further deterioration would intensify ECB stagflation concern and hurt growth names.

Iran ceasefire first-day price action: Energy sector rotation is the immediate trade. Oil majors (Shell, BP, TotalEnergies) likely to underperform; airlines and consumer names may catch a bid. Watch EuroStoxx Energy vs Consumer sectors.

EUR/USD direction: 1.143 is the key level. PMI data today could push below 1.14 (further ECB growth concerns) or recover toward 1.15 (ceasefire optimism, risk-on). DXY at 100.7 is a headwind.

1 WEEK — THIS WEEK

ECB meeting follow-on: Board members speaking this week will calibrate the July vs September timeline for the next hike. Market is pricing one more 25bp move; confirmation would steepen the Bund curve.

June DCM supply surge: Final pre-summer window. Expect concentrated EUR IG, SSA, and covered bond issuance Thursday and Friday. Watch deal performance and spread concession to gauge investor appetite.

Iran ceasefire durability: Any reports of violations or breakdown will re-spike Brent through \$85. Watch IEA and DOE commentary on strategic reserve position.

1 MONTH — JUNE-JULY 2026

ECB second hike timing: July meeting is live if June PMI data surprises to the upside on inflation; September more likely base case. Bund 10Y will price this through July.

Eurozone H1 GDP estimate (flash, late July): First reading of H1 2026 growth expected to reflect the energy shock impact. A sub-0% reading would put the eurozone in a technical recession and force ECB communication reset.

US tariff Section 122 expiry clock: 150 days from announcement (~November 2026 expiry). Trade negotiations or escalation will be a recurring theme. Watch automotive and steel sector corporate guidance.

European H1 earnings season (starts mid-July): Expect consensus cuts for consumer, retail and industrial names. Overweight defence, energy, banks. Earnings season will determine if the 17.3% YTD European equity rally has legs or faces a reality check.

Sources: Reuters | CNBC | Bloomberg | Yahoo Finance | TheStreet | Trading Economics | ECB Press Release (Jun 11 2026) | S&P Global PMI | GlobalCapital | IFR | Wikipedia (Economic impact of 2026 Iran war) | Congress.gov | Deloitte Insights | Allianz Economic Research | WEF | IEA | CSIS | KuCoin Commodity Data | Cambridge Currencies | StreetStats Finance | Morningstar | SEC EDGAR (Rio Tinto) | S&P Global Market Intelligence | Admirals Markets | SoFi | TraderAgency

Data collected automatically between 05:00-05:30 BST on 22 June 2026. Verify all figures independently before making any investment or trading decision. Not financial advice. Where data is marked "n/a", the figure could not be sourced in this session — use Bloomberg, Refinitiv, or IFR for confirmed live data.